**GALIFORM HOLDINGS LTD**
**(formerly ORCHARDLIGHT LIMITED)**

**DIRECTORS' REPORT AND FINANCIAL STATEMENTS**

**FOR THE 52 WEEKS ENDED 29 DECEMBER 2007**

**REGISTERED NUMBER 3320875**

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**GALIFORM HOLDINGS LIMITED (formerly Orchardlight Ltd)**
**DIRECTORS' REPORT**

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 29 December 2007 (2006 53 weeks ended 30 December 2006)

## BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc's Corporate division The company's principal activities are as an intermediate holding company The company changed its name from Orchardlight Limited to Galiform Holdings Limited on 19 December 2007 The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the company's profit and loss account on page 5, the profit for the financial period amounted to £4,000 The directors recommend that no dividend be paid (2006 nil) The directors are satisfied with the progress of the business

The balance sheet on page 6 of the financial statements shows that the Company's financial position at the end of the year is, in both net assets and cash terms, consistent with prior years Details of amounts owed to the parent company are shown in note 6

The Galiform Plc group manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the Galiform Plc group, which includes this Company, is discussed in the Group's Annual Report which does not form part of this report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

## PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Company has no other significant risks and uncertainties, other than those risks that it shares with the Galiform Plc Group, given that the Company's principal activities are holding investments in other Galiform PLC Group companies The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

## EMPLOYEES

The Company has no employees

## DIRECTORS

The directors of the Company who served throughout the period, except as noted, were

IPH Arnold
G Hughes
M Ingle
M Robson

No director held any beneficial interest in the shares of the Company at any time during the period

## DIRECTORS (Cont'd)

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, at 29 December 2007 and 30 December 2006 are disclosed in the accounts of that company with the exception of IPH Arnold, whose interests are shown below

| | At 29 December 2007 Ordinary shares of 10p each | | | At 30 December 2006 Ordinary shares of 10p each | | |
|---|---|---|---|---|---|---|
| | Shares in issue | Share options | Share awards* | Shares in issue | Share options | Share awards* |
| I Arnold | 72,909 | 224,211 | 98,590 | 72,909 | 409,236 | 0 |

**Conditional share awards under performance share plan*

The options outstanding are exercisable at prices between 100p and 131 5p I Arnold also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 574,406 shares *(2065 941,942 shares)*

Under the terms of the Senior Managers Co-Investment Plan, I Arnold had 22,900 commitment shares with Galiform Plc granting 34,350 matching shares The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

## POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company did not make any charitable or political donations during the period *(2006 nil)*

## AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware,
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution, the Company is not obliged to reappoint its auditors annually and Deloitte & Touche LLP will therefore continue in this office

## REGISTERED OFFICE

The company's registered office is International House, 1st Floor, 66 Chiltern Street, London, W1U 4JT

**GALIFORM HOLDINGS LIMITED (formerly Orchardlight Ltd)**
**DIRECTORS' REPORT (Cont'd)**

## STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop, Secretary
15 September 2008

**INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM HOLDINGS LIMITED (formerly Orchardlight Limited)**

We have audited the financial statements of Galiform Holdings Limited for the 52 week period ended 29 December 2007 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 10 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

**Respective responsibilities of directors and auditors**

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

**Basis of audit opinion**

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

**Opinion**

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 29 December 2007 and of its profit for the 52 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London
United Kingdom
17 September 2008

**GALIFORM HOLDINGS LIMITED (formerly ORCHARDLIGHT LIMITED)**
**PROFIT AND LOSS ACCOUNT**
**FOR THE 52 WEEKS ENDED 29 DECEMBER 2007**

| | Notes | 52 weeks to 29 Dec 2007 £000 | 53 weeks to 30 Dec 2006 £000 |
|---|---|---|---|
| Miscellaneous income | | 6 | - |
| Impairment of investments | 4 | - | - |
| **Operating profit** | | 6 | - |
| Dividends received | | - | 30,000 |
| **Profit on ordinary activities before tax** | | 6 | 30,000 |
| Tax on profit on ordinary activities | 3 | (2) | - |
| **Profit for the financial period** | | 4 | 30,000 |
| **Amount transferred to reserves** | | 4 | 30,000 |

The results for the 52 week period ended 29 December 2007 and the prior period are derived from continuing operations

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented

**GALIFORM HOLDINGS LIMITED (formerly ORCHARDLIGHT LIMITED)**
**BALANCE SHEET AT 29 DECEMBER 2007**

| | Notes | 29 Dec 2007 £000 | 29 Dec 2007 £000 | 30 Dec 2006 £000 | 30 Dec 2006 £000 |
|---|---|---|---|---|---|
| **Fixed assets** | | | | | |
| Investments | 4 | | **100,000** | | 100,000 |
| **Current assets** | | | | | |
| Debtors | 5 | **38,842** | | 38,842 | |
| **Creditors** amounts falling due within one year | 6 | **(615,778)** | | (615,782) | |
| **Net current liabilities** | | | **(576,936)** | | (576,940) |
| **Net liabilities** | | | **(476,936)** | | (476,940) |
| **Capital and reserves** | | | | | |
| Called up share capital | 7 | | - | | - |
| Profit and loss account | 8 | | **(476,936)** | | (476,940) |
| **Shareholders' deficit** | | | **(476,936)** | | (476,940) |

Approved by the Board of Directors on 15 September 2008

Gerard Hughes
Director

**GALIFORM HOLDINGS LIMITED (formerly ORCHARDLIGHT LIMITED)**
**NOTES TO THE FINANCIAL STATEMENTS**
**FOR THE 52 WEEKS ENDED 29 DECEMBER 2007**

## 1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and preceding periods

### BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards

Under Financial Reporting Standard 1 'Cash flow statements', the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the undertakings for the 52 week period ended 29 December 2007, being the Saturday nearest to the Company's accounting reference date of 29 December The undertakings for the prior year relate to the 53 week period ended 30 December 2006, being the Saturday nearest to the Company's accounting reference date of 29 December

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate holding company, Galiform Plc The financial statements present information about the Company as an individual undertaking and not as a Group

### INVESTMENTS

Investments are stated at cost less any provision for impairment

### TAXATION

UK Corporation tax is provided at amounts expected to be paid/(or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

## 2. REMUNERATION OF DIRECTORS, STAFF COSTS AND AUDITORS' REMUNERATION

No director received any emoluments from the Company during the period *(2006 £nil)* The Company had no employees during the current or preceding period

The auditors' remuneration for the period is £5,000 (2006 £5,000) for audit services In both periods the auditors remuneration was borne by a fellow subsidiary undertaking, Galiform Corporate Services Limited

## 3. TAX ON PROFIT ON ORDINARY ACTIVITIES

| | **29 Dec 2007** | 30 Dec 2006 |
|---|---|---|
| | **£000** | £000 |
| UK Corporation tax charge | **(2)** | - |

## 3. TAX ON PROFIT ON ORDINARY ACTIVITIES (cont'd)

**Factors affecting current period corporation tax**

| | 2007 | 2006 |
|---|---|---|
| The taxation credit, as a percentage of profit on operating activities before taxation, is calculated at | 30% | 0% |

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to profit before tax is as follows

| | 2007 £'000 | 2006 £'000 |
|---|---|---|
| Profit on ordinary activities before taxation for the period | 6 | 30,000 |
| Tax on profit on ordinary activities at the standard rate of corporation tax in the UK of 30% *(2006 30%)* | (2) | 9,000 |
| Effects of | | |
| Dividend income not subject to tax | - | 9,000 |
| Current tax charge for the period | (2) | - |

There is no unprovided deferred tax at the end of the current or prior period

## 4. FIXED ASSET INVESTMENTS

| | 30 Dec 2006 £'000 |
|---|---|
| **Cost** | |
| At 30 December 2006 | 552,306 |
| Additions in period | - |
| Disposals in period | - |
| **At 29 December 2007** | **552,306** |
| **Provision for impairment** | |
| At 30 December 2006 | (452,306) |
| Additions in the period | - |
| Disposals in the period | - |
| **At 29 December 2007** | **(452,306)** |
| **Net Book Value** | |
| **At 29 December 2007** | **100,000** |
| At 30 December 2006 | 100,000 |

## 4. FIXED ASSET INVESTMENTS (Cont'd)

Investments comprise shares in Group companies The principal subsidiaries at 29 December 2007 are listed below All subsidiaries are wholly owned and incorporated in Great Britain, and registered in England and Wales In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

| Subsidiary | Principal activity |
|---|---|
| Galiform Corporate Services Limited (formerly MFI UK Limited) | Management services |
| Howden Joinery Limited | Trade kitchen furniture and joinery |
| Howden Kitchens Supplies Holdings Limited | Intermediate holding company for Group's sourcing operations |
| Group People Services Limited | Employment company |

## 5 DEBTORS

| Amounts falling due within one year | 29 Dec 2007 £000 | 30 Dec 2006 £000 |
|---|---|---|
| Amounts owed by fellow subsidiary undertakings | **38,842** | 38,841 |
| Other debtors | - | 1 |
| | **38,842** | 38,842 |

## 6. CREDITORS

| Amounts falling due within one year | 29 Dec 2007 £000 | 30 Dec 2006 £000 |
|---|---|---|
| Amounts owed to parent undertaking | **582,792** | 582,791 |
| Amounts owed to fellow group subsidiary | **32,964** | 31,260 |
| Other creditors | **22** | 27 |
| Accruals | - | 1,704 |
| | **615,778** | 615,782 |

## 7. SHARE CAPITAL

| | 29 Dec 2007 £ | 30 Dec 2006 £ |
|---|---|---|
| 100 authorised ordinary shares of £1 each | **100** | 100 |
| 2 allotted, called up and fully paid ordinary shares of £1 each | **2** | 2 |

## 8. RECONCILIATION OF MOVEMENTS IN SHAREHOLDERS' DEFICIT

| | £'000 |
|---|---|
| 30 December 2006 | (476,940) |
| Profit for the period | 4 |
| **29 December 2007** | **(476,936)** |

## 9. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company and ultimate parent company and controlling party is Galiform Plc, formerly MFI Furniture Group Plc incorporated in Great Britain and registered in England and Wales

The largest and smallest Group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 'Related Parties' from the requirement to disclose related party transactions within the Group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary

## 10. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the Galiform group It is jointly and severally liable for the VAT payable by those other group undertakings which, at 29 December 2007, amounted to £11 3m (2006 £19 0m)

In February 2006 the ultimate parent company, Galiform Plc, refinanced its medium term debt This Company, together with other group companies, has guaranteed the obligations under this bank facility